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NETC 180 – Information Risk Management

Module Nine Assignment

Third- and Fourth-Party Risk Identification

RG Enterprises faces many third- and fourth-party risks. These explicit and implicit risks arose from a series of decisions that led the company to its current situation. Now facing attacks all over its vulnerability landscape, RG Enterprises can take action to reduce, transfer, or accept these risks. These decisions will form a plan to navigate the risk-laden reality RG Enterprises currently faces as well as lay the foundation for its risk management strategy moving forward.

The current third- and fourth-party risks that RG Enterprises faces include financial, regulatory, compliance, legal, residual, reputational, operational, strategic, and security risks. All of these stem from decisions that the company has taken that have led to its current situation. The key decisions that led to these third-party risks include:

- 1. Selling its merchandise nationally**
- 2. Using an off-shore company to stand up its eCommerce website**
- 3. Printing Lady Gaga's likeness and song title on a T-shirt**
- 4. Superimposing a politician's face on a politically charged T-shirt**
- 5. Dyeing clothing with black Henna paste**
- 6. Locating their headquarters by a flood-prone river**
- 7. Using the CEO's problematic cousin for legal advice**

Decisions that Led to the Risks

RG Enterprises has made key decisions in its business practices that have ultimately led to its exposure to a myriad of third- and fourth-party risks. Each of these decisions has had an impact on the company and repercussions not just internally but externally as well. Many of these decisions have led to other decisions that have further opened RG Enterprises to third- and

fourth-party risks! Analyzing these key decisions is a critical first step to creating a risk management strategy that will allow RG Enterprises to navigate through its troubled current situation and hopefully survive to manage future risks. The following descriptions of the decisions forms the base of the analysis:

1. Selling its merchandise nationally

Reading over the business case, this decision seems to have sparked most of the events and subsequent decisions that have riddled the company with third-party risks. This decision is a strategic one – trying to broaden the market and bring in more income is a move that, if done correctly, could scale up the business and bring in more revenue. Unfortunately, it seems to have gone poorly. Evidence of this is that less than 5% of the pre-produced T-shirts of its new line have been sold, indicating that RG Enterprises may have both produced a lot more shirts than appropriate for just the ND market to try and match its suspected national demand and also misread the market and the broad appeal (or lack thereof) of its products. Furthermore, broadening the market to the rest of the country probably provided logistical challenges for its 16 employees, and almost definitely brought up the second decision on the list – using an eCommerce website to handle the desired increase in sales volume.

2. Using an off-shore company to stand up its eCommerce website

Using an off-shore company to develop and maintain an eCommerce website must have been more financially appealing to RG Enterprises than a domestic service... until the costs soared to 5 years' worth of its marketing budget. Reliability on this website has been inconsistent and there have been outages, possibly causing loss of revenue and customers. The lack of collecting Illinois state tax is also very likely due to how the eCommerce website is set up. This is also alarming considering PCI DSS and, if RG Enterprises should have any Europe-based

customers, GDPR; if the payment and personal data of customers is not being stored correctly, there could be devastating legal consequences.

Considering data storage, there is also no indication that the offshore company is completely insulated and does not have third-party vendors of its own. They could use fourth-party services such as cloud solutions that would add vectors of attack for bad actors. This means that the vulnerability landscape for RG Enterprises is dangerously unknown.

3. Printing Lady Gaga's likeness and song title on a T-shirt

The decision to use the image, likeness and copyrighted lyrics of Lady Gaga on a T-shirt was a risky one. It's difficult to imagine that the decision was deliberated at length, carefully considered, and thoroughly aware of the potential consequences. Rather, it's easier to consider that the team thought it would be catchy, humorous, or a great piece of marketing – a design that appeals to the public's sense of shock and wit, potentially driving sales based solely on how bold and offensive the design is. It also is reasonable to assume that RG Enterprises never reached out to Lady Gaga, her team, or legal counsel to seek permission to use this content. Unsurprisingly, RG Enterprises now faces a copyright infringement lawsuit from Lady Gaga – the natural consequence of taking this risky decision.

4. Superimposing a politician's face on a politically charged T-shirt

This decision is similar to the previous one – using the politician's face to imply that he is somehow a “Government Hooker” is a wildly risky choice. It likely had no consideration for the consequences or any communication with its subject – the Proletarian Party's presidential candidate. Besides the obvious risk of libel (for which the lawsuit represents the natural consequences to the decision in the first place), there is also a huge risk from a consumer standpoint: does anybody really know who this person is? The decision to use a more obscure

politician probably led to the lackluster sales numbers for the shirt. If RG Enterprises had chosen a more mainline politician, perhaps the sales would have shown a financial payoff of this risky choice, though it may have had more serious or damaging legal consequences. It seems that this decision was made considering its traditional market audience – North Dakotans – rather than the national audience that they are trying now to appeal to.

5. Dyeing clothing with black Henna paste

There is no explanation about where RG Enterprises gets its dye. The black Henna paste could have been a less expensive option, more readily available, or a personal preference by employees. Maybe RG Enterprises was even aware of how it stains skin and decided to accept the risk anyway. The fact remains that the organization chose not to warn its customers means that they either knew and didn't tell their customers or were not themselves aware of the use of this dye in the first place. Neither choice bodes well in the court of public opinion, because it indicates negligence or, worse, *willful* negligence. Hopefully the truth is in the former, not the latter, as this would be much easier to salvage.

6. Locating their headquarters by a flood-prone river

Though the business case does not say why the company chose this location as its headquarters, the weather forecast of 'historic' flooding indicates that there must have been some risk of flooding at the river. The converted paint factory was likely less expensive a site for their headquarters than a brand new location or even a location that had to be extensively retrofitted for its purposes. Choosing this location likely saved money and eased the start-up process of operations. Still, not considering the possibility of flooding or accepting this risk seems poorly informed at best and flippantly casual at worst.

7. Using the CEO's cousin for legal advice

Legal advice is expensive, and it is understandable that RG Enterprises cannot afford its own permanent inside counsel. One can assume that the cousin is a lawyer, but there is no confirmation of this in the business case. However, the cousin in question is currently detained for suspicion of driving under the influence, so his competence and character are heavily in question. It is reasonable to assume that the CEO of RG Enterprises thought that the company would be relatively free from legal entanglements that would require reliable legal help and that the company could get by with the counsel of this cousin. Certainly RG Enterprises did not anticipate or plan on facing so many heavy legal issues at once, and that may have influenced the decision to go with this less reputable person. Given that the cousin is currently unavailable, this choice has led to an overexposure to legal risks.

Addressing the Risks

Considering the multitude of risks and all the decisions that led to this point in RG Enterprises' existence, it's important to consider how to address each risk. While many of them must be reduced or mitigated immediately, some might be more easily transferred and a couple might be acceptable risks for the company. RG Enterprises should do the following to address these risks:

1. Selling its merchandise nationally

Opening up to new markets is a risk that is worth taking, though there are certainly some strategic changes that would ease this process for the company. The third-party risks of market fluctuations and adjusting to new demand will provide hiccups but ultimately prepare the company to scale and thrive. With a reformed strategy, the recommendation for this risk is to **accept the risk**.

2. Using an off-shore company to stand up its eCommerce website

This is the **most important risk to reduce**. The decision to use an offshore company has come with a heavy financial costs and unreliable service and has likely caused the Illinois state tax lawsuit and maybe even pose problems with PCI DSS, GDPR, or other regulations. Though all risks are rooted in the unknown, the unknowns of this vendor (especially those about its potential use of fourth party vendors) are too risky to accept. RG Enterprises should immediately look at the contract it has with its eCommerce vendor and either amend it or send a new one stipulating security-minded practices and either compel the vendor to comply or take its business elsewhere. In its contract with the vendor, RG Enterprises could implement industry standards such as SOC 2, ISO 27001, NIST CSF, NIST 800-171, and VSA Questionnaire for vendor risk management. (McGladrey) The current lawsuits, outages, cost, and potential cybersecurity vulnerabilities are just too much to accept or transfer. The recommendation for this risk is to **reduce it** as soon as possible.

3. Printing Lady Gaga's likeness and song title on a T-shirt

The business strategy of printing politically charged content should be analyzed critically and perhaps changed quickly. The company has opened itself up to third-party risks via the copyright owners without much payoff. Though it has historically been successful (assumed, of course, because the company seems to still be in business) to use this kind of content, RG Enterprises seems to have hit a wall with this latest design. In the case of the copyright infringement lawsuit and future content on its merchandise, RG Enterprises should try to **reduce the risk** by pulling the merchandise and changing its business strategy to rein in the content or abandon politically-charged material. If RG Enterprises decides that this would fundamentally change the company too much and does not accept this change, then it should consider **transferring this risk** by getting some kind of fund set aside for lawsuits and settlements or

some other kind of fiscal ‘insurance’ to take the financial hit from the potential lawsuits. This is not recommended, and RG Enterprises should work to **reduce this risk**.

4. Superimposing a politician’s face on a politically charged T-shirt

Just like the previous risk, RG Enterprises should **reduce the risk** by either pulling the merchandise and changing its strategy by reining in how far the politically charged content goes or abandon this type of merchandise completely. If unacceptable to the business, then it could attempt to **transfer the risk** by having some kind of pool of money or find a willing investor to fund its lawsuits or settlements and lost revenue from future offensive merchandise, though this is not recommended. RG Enterprises should **reduce this risk**.

5. Dyeing clothing with black Henna paste

Of all the risks that RG Enterprises currently faces, this one is perhaps the easiest to reduce. RG Enterprises can **reduce this risk** by being more critical of its operations and where it gets its materials from. It is not impossible that the business was unaware of the kind of dye that it was using and not realize that it could potentially stain skin for extended periods of time. RG Enterprises might be more diligent in its contracts with vendors, taking care to include specific clauses and controls to mitigate risks identified with each vendor. (Mukherjee) In the case of the black Henna paste, it could stipulate with its suppliers that it wants to only be provided with safe dyes and nothing that could open itself up to other problems. Implementing stronger contracts and periodically auditing the quality and efficacy of its materials can **reduce this third-party risk** and make sure that RG Enterprises’ entire supply chain is safer, cleaner, and of a higher quality. (Donohue)

6. Locating their headquarters by a flood-prone river

This risk is quite challenging to reduce; RG Enterprises might not even have enough cash on hand to pay its employees, much less move its headquarters out of harm's way. Though there are some cost-effective ways to potentially **reduce the risk in the short term**, such as sandbagging the perimeter of the business, moving critical operations machinery out of the building, or trying to raise machinery off the ground for the impending flood, the long-term recommendation is to **transfer the risk** to an insurance company. Transferring the risk for the future makes the most sense, as insurance can help the business in the event of a catastrophic flooding event. That being said, it may be hard to get an insurance policy at the eleventh hour, especially knowing that historic flooding is already being predicted. Still, it would save the company effort, time, and money in the long run as opposed to scrambling each time to sandbag the building or perhaps relocating.

7. Using the CEO's problematic cousin for legal advice

Third-party risk management is a "collective responsibility that spans all levels of an organization," including everyone from the CEO to the newest hires. (Sabbineni) Risk management needs to become a frame of thinking for RG Enterprises, especially in making decisions like legal counsel. The fact that this legal counsel could not prevent the decision to use copyrighted material that opened up the company to two lawsuits on top of the detainment for suspected intoxication is enough to discount this cousin as reliable legal counsel. For this risk, the easiest and most effective solution is to **reduce the risk** by simply hiring someone else that will work hard to prevent these exposures in the first place and secure the company from further legal action. If the company decides to correct its course and steer clear of legal gray areas independently of this lawyer, then perhaps it *may* consider accepting the risk of keeping this lawyer, but the recommended action is **not to accept** this risk but to **reduce it and soon**.

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